

should have been able to read the warning signals loud and clear long before the May 28 break took place.

As I stated previously, the Dow-Jones industrial average shot to its all-time high of 734.91 on December 13, 1961. The downward movement began immediately afterward and continued through December 1961 and January 1962. There was a brief recovery that continued until March, when the Dow-Jones average edged up over 720, but the graph line shows the recovery was an uncertain, faltering one. The downward trend was resumed in March—and the graph line from then on makes a steep descent that is broken by only a few spasmodic upward jogs.

The May 28, 1962, price break had its beginnings in December 1961. The downward adjustment was evidently needed and unavoidable. That it culminated in the sharp price plunge of May 28 was due to the emotional reaction—verging on panic—shown by inexperienced investors who were unable to realize that what was happening *had* to happen and, what was worse, who understood almost nothing of what was going on around them. To paraphrase Abraham Lincoln, *all* stock market investors cannot fool themselves *all* of the time. The awakening had to come—and it did.

The anatomy of a stock market boom-and-bust such as the country experienced in 1962 is not too difficult to analyze. The seeds of any bust are inherent in any boom that outstrips the pace of whatever solid factors gave it its impetus in the first place.

An old and rather corny comedy line has it that the only part of an automobile that cannot be made foolproof by a safety device is the nut that holds the wheel. By much the same token, there are no safeguards that can protect the emotional investor from himself.

Having bid the market up irrationally, these emotional investors became terrified and unloaded their holdings just as irrationally. Unfortunately, an emotionally inspired selling wave snowballs and carries with it the prices of all issues, even those that should be going up rather than down.